

Our customers are at their most profitable point in 55 years.

184

US meat-to-feed parity today
(2016 average = 100)

13

months already spent
at this peak

0

of the five previous peaks
that held

WHAT YOU ARE LOOKING AT

One ratio: what a kilo of meat buys in feed.

THE MEASURE

PARITY =

meat price ÷ feed cost

Higher = meat outpacing feed → the producer earns more.

Lower = feed eating the margin.

THE SCALE

Each market is indexed to **its own 2016 average = 100.**

So 184 means US producers earn 84% more per kilo of feed than they did in 2016. The three lines are comparable in shape, not in level.

WHICH PRICES, EXACTLY

US slaughter cattle ÷ corn

BLS producer prices · 1971 → · 666 months

EU beef reference price ÷ compound feed

Eurostat · 2015 → · 129 months

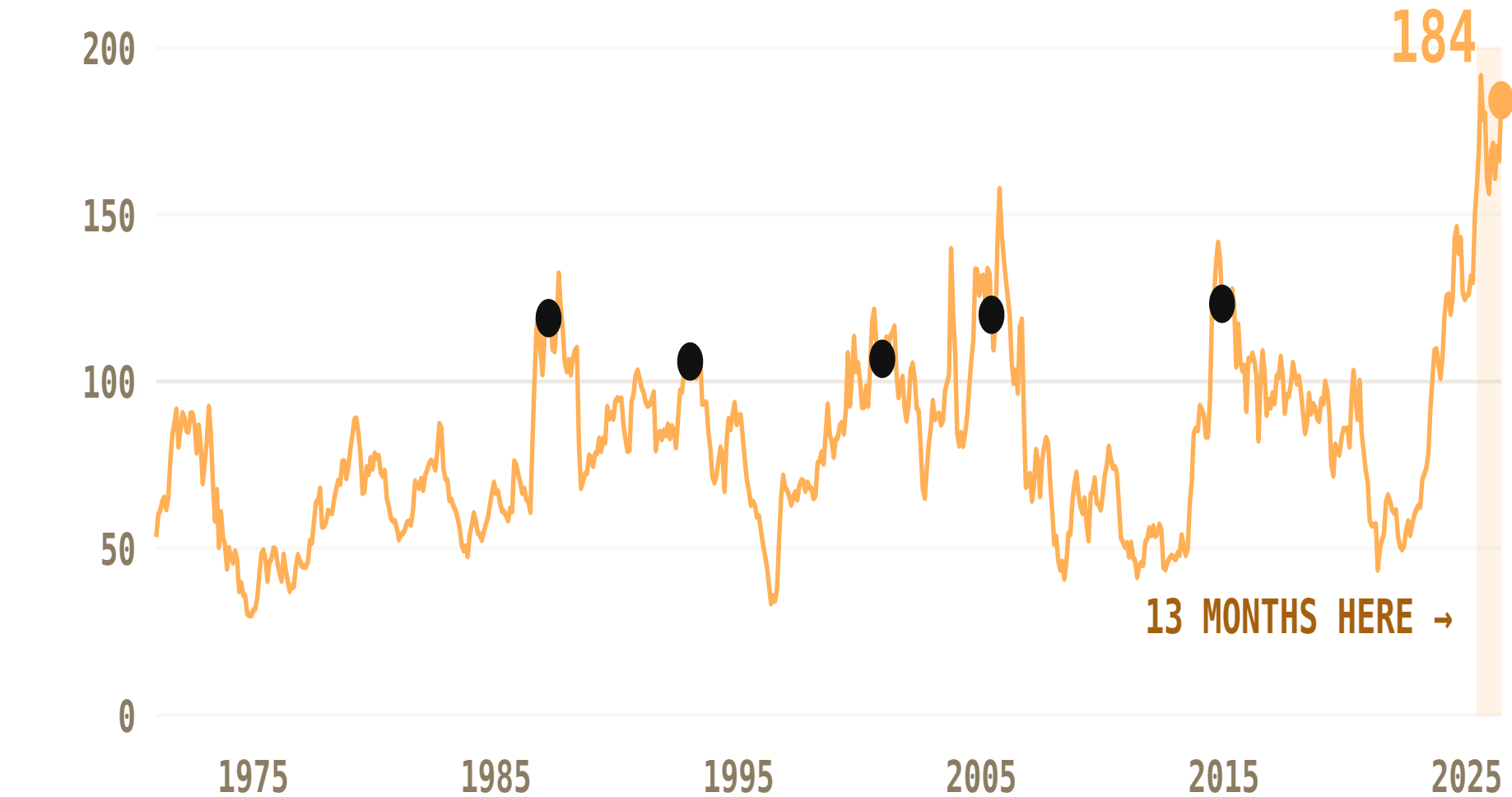
TR meat ÷ feed producer prices

TurkStat · 2010 → · 198 months

Not the same basket in each country — which is exactly why each series is indexed to its own base, and why we read shape rather than level.

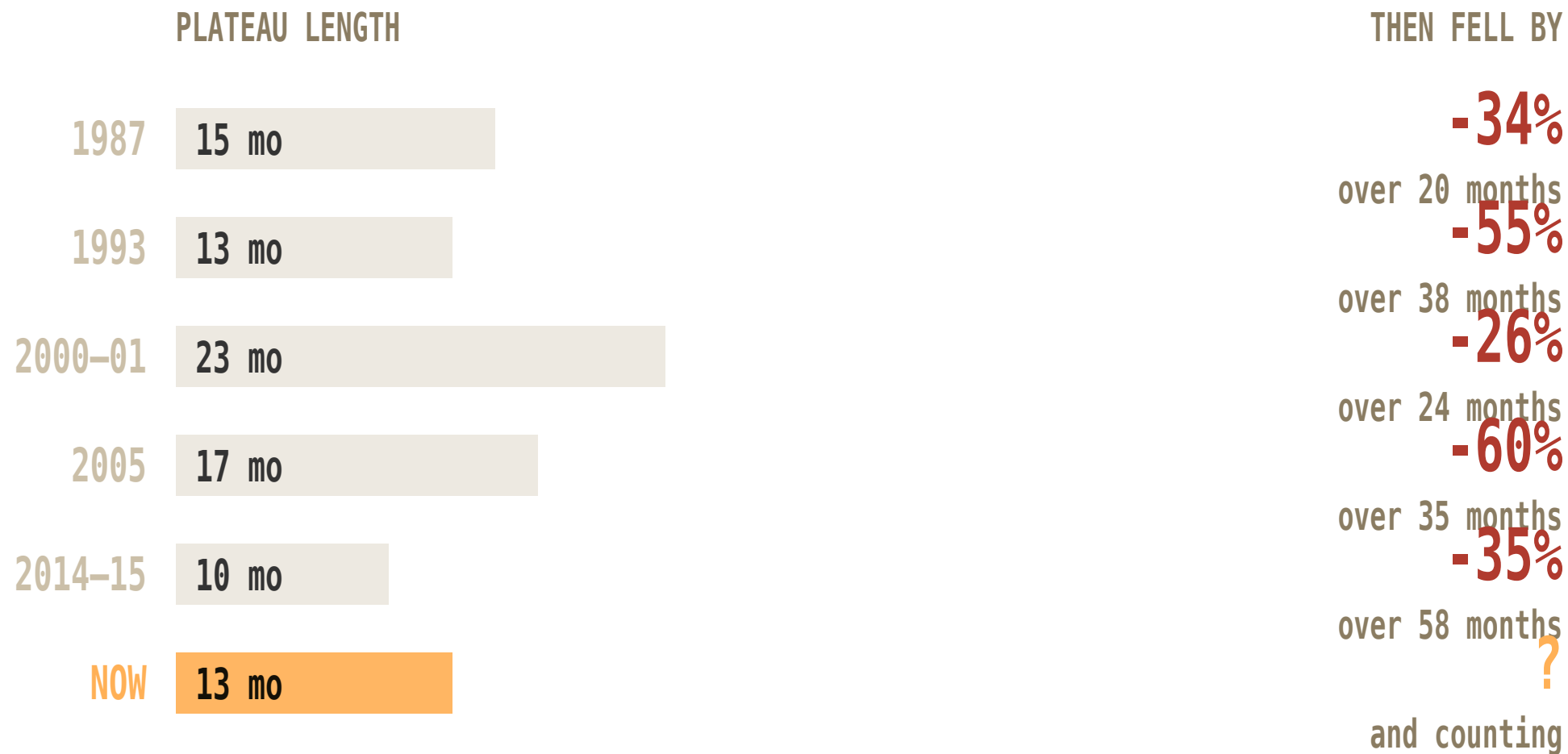
The US: a record — and it has stopped climbing.

US only — the one market with a 55-year record. Line = producer margin ratio, one point per month; higher is better for the producer.



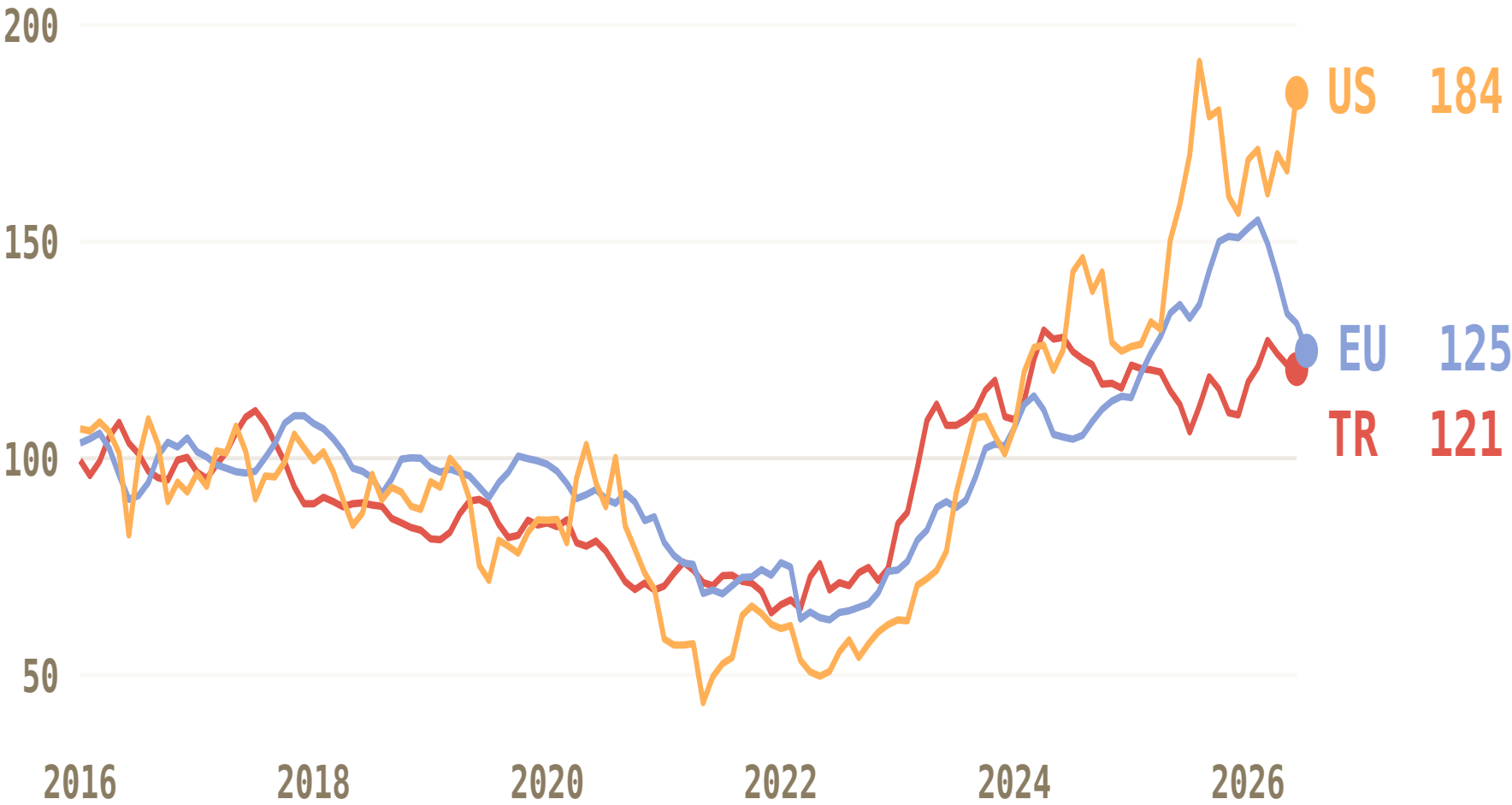
Five US peaks. Every one fell 25–60%.

US cycles, 1971–2026 — the only record long enough to count them. Bar = how long each peak lasted; right = how far the ratio then fell.



Three markets. One cycle. At the same time.

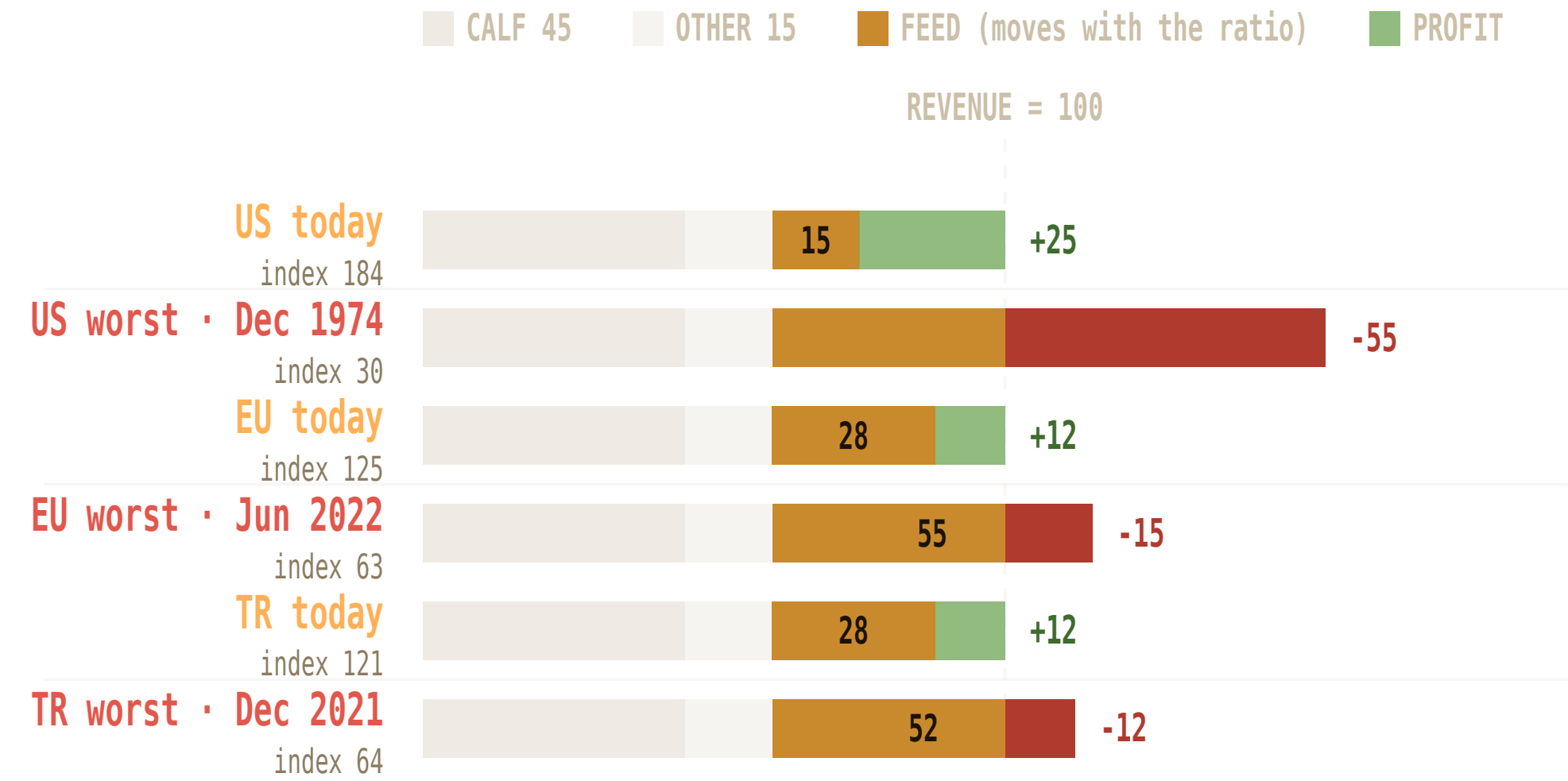
Now all three — each on its own 2016 = 100 base. Watch the shape, not the gap: the level is not comparable, the timing is.



EACH MARKET INDEXED TO ITS OWN 2016 AVERAGE = 100 • US-EU CORRELATION 0.88 AT ZERO LAG

The same swing, in all three markets.

Costs per 100 of revenue — today vs each market's own worst month. Same cost structure everywhere, so the swing is comparable.



ILLUSTRATIVE MODEL • FEED = 35 × (MARKET'S MEAN PARITY ÷ THAT MONTH'S PARITY) • WORST MONTH = WITHIN EACH MARKET'S OWN RECORD

We don't know what they cut first.

1 The window is now

Customers have cash today. The conversation is easier while they are profitable.

2 Phasing beats size

A price move landing into a downturn behaves differently from one landing into a peak.

3 Next step: two to three weeks

Map what producers actually cut, in what order, in the last two downturns — against our portfolio.
The macro side is done.

One month, start to finish.

United States, June 2026 — every step, from the published price to the profit line.

1 Take two published prices.

US producer price index, June 2026 — slaughter cattle **398.12**, corn **163.14**. Both straight from BLS, unadjusted.

3 Index to 2016 → comparable across countries.

The 2016 average parity was **1.32**. So $2.44 \div 1.32 \times 100 = 184$. The same step is done for the EU and Türkiye with their own 2016 averages.

5 Turn it into a P&L.

Revenue **100**. Calf **45** and other costs **15** held fixed. Feed = $35 \times (\text{long-run mean parity } 1.08 \div \text{this month's } 2.44) = 15$. Profit = $100 - 45 - 15 - 15 = +25$.

2 Divide them → parity.

$398.12 \div 163.14 = 2.44$ — one unit of cattle price buys 2.44 units of corn price.

4 Count the plateau.

Take the twelve-month average. Count the run of months it stays within 10% of its own peak. Currently **13**; the five previous runs were 10 to 23.